



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2758: McMullen Valley; eligible entities; groundwater

GRIFFIN FLOOR AMENDMENT

1. Expands the projects eligible for grant monies from a county water improvement financial assistance program to include water hauling. (Sec. 1)
2. Modifies the list of eligible uses of grant monies to include the acquisition or installation of water storage tanks for storing hauled water. (Sec. 1)
3. Modifies the information required for an affidavit of disclosure for selling certain parcels of land. (Sec. 2)
4. Expands the definition of *waterworks* to include *standpipes*. (Sec. 5)
5. Includes a domestic water delivery system, that is in a subsequent AMA or basin from which groundwater may be transported, for delivering water through water hauling as a valid reason for establishing an improvement district. (Sec. 6)
6. Adds wells and standpipes as waterworks the board of directors of an improvement district can manage. (Sec. 7)
7. Stipulates that an improvement district formed in an AMA for the purpose of delivering water through water hauling may exercise the power of eminent domain only for acquiring a site in the subsequent AMA for the construction and access to a single well and a standpipe for water hauling. (Sec. 7)
8. Makes technical and conforming changes. (Sec. 2, 5, 6, 7)

GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2758
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 11-254.09, Arizona Revised Statutes, is
3 amended to read:

4 11-254.09. Water improvements program; grants; requirements;
5 annual report

6 A. The board of supervisors may establish a program to allow
7 persons to make gifts, grants or donations for the purpose of providing
8 financial assistance to qualified owners of residential real property for
9 making improvements to an existing drinking water well or providing for
10 [WATER HAULING FOR WATER DELIVERY OR] a water delivery system for the
11 residence.

12 B. The board shall designate an entity to operate the program, to
13 establish criteria for grants and to award grants as prescribed by this
14 section. The entity may be a county agency, department or division or may
15 be a private, nonprofit corporation as determined by the board of
16 supervisors.

17 C. The program shall do all of the following:

18 1. Limit grant recipients to persons who are low-income or
19 fixed-income owners of residential property.

20 2. Develop application criteria and criteria for awarding grants.

21 3. Restrict a grant recipient's use of grant monies to deepening an
22 existing drinking water well for the recipient's residence[, TO ACQUIRING
23 OR INSTALLING ONE OR MORE STORAGE TANKS FOR RECEIVING AND STORING WATER
24 DELIVERED THROUGH WATER HAULING] or to plumbing or replumbing the
25 recipient's residence for a water delivery system.

26 D. The board of supervisors may not use general county monies for
27 grants under the program.

1 E. The entity that operates the program shall make and submit to
2 the county board of supervisors, the president of the senate and the
3 speaker of the house of representatives on or before July 1 of each year a
4 report containing a description of program operations of the preceding
5 year, including the amount of gifts, grants or donations received and the
6 grants awarded.>>

7 <<Sec. 2. Section 33-422, Arizona Revised Statutes, is amended to
8 read:

9 33-422. Land divisions; recording; disclosure affidavit

10 A. A seller of five or fewer parcels of land, other than subdivided
11 land, in an unincorporated area of a county and any subsequent seller of
12 ~~[such a]~~ [ANY] parcel [THAT IS THE SUBJECT OF AN AFFIDAVIT RECORDED AS
13 PRESCRIBED BY THIS SECTION] shall complete and furnish a written affidavit
14 of disclosure to the buyer at least seven days before the transfer of the
15 property and the buyer shall acknowledge receipt of the affidavit.

16 B. The affidavit must be written in twelve-point type.

17 C. A release or waiver of a seller's liability arising out of any
18 omission or misrepresentation contained in an affidavit of disclosure is
19 not valid or binding on the buyer.

20 D. The buyer has the right to rescind the sales transaction for a
21 period of five days after the affidavit of disclosure is furnished to the
22 buyer.

23 E. The seller [OR, ON THE REQUEST, DIRECTION OR INSTRUCTION OF THE
24 SELLER, THE ESCROW AGENT FOR THE TRANSACTION WHO IS LICENSED PURSUANT TO
25 TITLE 6, CHAPTER 7] shall record the executed affidavit of disclosure at
26 the same time that the deed is recorded. The county recorder is not
27 required to verify the accuracy of any statement in the affidavit of
28 disclosure. A subsequently recorded affidavit supersedes any previous
29 affidavit [, AND THE SUBSEQUENT SELLER OR, ON THE REQUEST, DIRECTION OR
30 INSTRUCTION OF THE SUBSEQUENT SELLER, THE ESCROW AGENT FOR THE SUBSEQUENT
31 TRANSACTION WHO IS LICENSED PURSUANT TO TITLE 6, CHAPTER 7 SHALL RECORD
32 THE SUBSEQUENTLY EXECUTED AFFIDAVIT PRESCRIBED BY THIS SECTION. A
33 LICENSED ESCROW AGENT WHO RECORDS AN AFFIDAVIT PURSUANT TO THIS SUBSECTION
34 IS NOT LIABLE FOR ANY INACCURATE INFORMATION IN THE AFFIDAVIT, INCLUDING
35 ANY OMISSIONS OF MATERIAL FACTS].

36 F. The affidavit of disclosure shall contain all of the following
37 disclosures, be completed by the seller, meet the requirements of section
38 11-480 and follow substantially the following form:

39 When recorded mail to:

40 _____
41 _____
42 _____
43 _____

44 Affidavit of Disclosure
45 Pursuant to A.R.S. § 33-422

46 I, _____ (seller(s))
47 being duly sworn, hereby make this affidavit of disclosure

- 1 relating to the real property situated in the unincorporated
2 area of:
3 _____, County, State of Arizona, located at:
4 _____
5 and legally described as:
6 (Legal description attached hereto as exhibit "A")
7 (property).
- 8 1. There ☐ is ☐ is not legal access to the property, as
9 defined in A.R.S. § 11-831 ☐ unknown
10 Explain: _____
11 _____
12 _____
- 13 2. There ☐ is ☐ is not physical access to the property.
14 ☐ unknown
15 Explain: _____
16 _____
17 _____
- 18 3. There ☐ is ☐ is not a statement from a licensed
19 surveyor or engineer available stating whether the property has
20 physical access that is traversable by a two-wheel drive
21 passenger motor vehicle.
- 22 4. The legal and physical access to the property ☐ is ☐ is not . .
23 . . the same....☐ unknown ☐ not applicable.
24 Explain: _____
25 _____
26 _____
- 27 *If access to the parcel is not traversable by emergency*
28 *vehicles, the county and emergency service providers may not*
29 *be held liable for any damages resulting from the inability to*
30 *traverse the access to provide needed services.*
- 31 5. The road(s) is/are ☐ publicly maintained ☐ privately
32 maintained ☐ not maintained ☐ not applicable. If
33 applicable, there ☐ is ☐ is not a recorded road
34 maintenance agreement.
35 *If the roads are not publicly maintained, it is the*
36 *responsibility of the property owner(s) to maintain the roads*
37 *and roads that are not improved to county standards and*
38 *accepted for maintenance are not the county's responsibility.*
- 39 6. A portion or all of the property ☐ is ☐ is not
40 located in a FEMA designated regulatory floodplain. If the
41 property is in a floodplain, it may be subject to floodplain
42 regulation.
- 43 7. The property ☐ is ☐ is not subject to ☐ fissures or
44 ☐ expansive soils. ☐ unknown
45 Explain: _____
46 _____
47 _____

1 8. The following services are currently provided to the property:
2 ☐ water ☐ sewer ☐ electric ☐ natural gas ☐ single
3 party telephone ☐ cable television services.

4 9. The property ☐ is ☐ is not served by a water supply
5 that requires the transportation of water to the property. If
6 the property is served by a water supply that requires the
7 transportation of water to the property, the seller shall
8 disclose the name and contact information of the water hauler
9 or water hauling company that is currently providing the
10 transportation services to the property and the name and
11 location of the water supply from which the water is currently
12 being transported.

13 Water hauler name: _____ Phone: _____

14 Water supply: _____ Location: _____

15 10. The property is served by ☐ a private water company ☐ a
16 municipal water provider ☐ a private well ☐ a shared well
17 ☐ no well. If served by a shared well, the shared well ☐ is
18 ☐ is not a public water system, as defined by the safe
19 drinking water act (42 United States Code § 300f). [IF SERVED
20 BY A PRIVATE WELL, THE PRIVATE WELL ☐ IS ☐ IS NOT REGISTERED
21 WITH THE DEPARTMENT OF WATER RESOURCES. ☐ UNKNOWN. THE WELL ☐
22 DOES ☐ DOES NOT HAVE A PUMP COMPLETION REPORT ON FILE WITH THE
23 DEPARTMENT OF WATER RESOURCES. ☐ UNKNOWN. WELL REGISTRATION
24 NUMBER: _____]

25 *Notice to buyer: If the property is served by a well, a*
26 *private water company or a municipal water provider the*
27 *Arizona department of water resources may not have made a*
28 *water supply determination. [WELLS REQUIRE MAINTENANCE. IT*
29 *IS THE BUYER'S RESPONSIBILITY TO INSPECT A PRIVATE WELL. DUE*
30 *TO GEOLOGIC CONDITIONS, WATER DELIVERY SYSTEMS OR WATER*
31 *HAULING MAY BE REQUIRED. TRANSPORTING WATER BY WATER HAULING*
32 *IS ACCEPTABLE.] For more information about water supply,*
33 *contact the water provider.*

34 11. The property or the water used on the property ☐ is ☐ is not
35 the subject of a statement of claimant for the use of water in
36 a general adjudication of water rights. ☐ unknown.

37 *This is a lawsuit to determine the use of and relative*
38 *priority of water rights. A map of adjudicated areas is*
39 *available at the website of the department of water resources.*

40 [12. THE PROPERTY ☐ IS ☐ IS NOT LOCATED IN A BASIN OR SUBBASIN FROM
41 WHICH GROUNDWATER MAY BE TRANSPORTED AWAY PURSUANT TO TITLE 45,
42 CHAPTER 2, ARTICLE 8.1, A.R.S. IF THE PROPERTY IS LOCATED IN
43 SUCH A BASIN OR SUBBASIN, THE SELLER SHALL DISCLOSE THE BASIN
44 OR SUBBASIN THAT THE PROPERTY IS LOCATED IN:

45 ☐ BUTLER VALLEY GROUNDWATER BASIN.

46 ☐ MCMULLEN VALLEY GROUNDWATER BASIN.

47 ☐ HARQUAHALA IRRIGATION NON-EXPANSION AREA.

1 ☐ BIG CHINO GROUNDWATER SUBBASIN.
2 NOTICE TO BUYER: PURSUANT TO TITLE 45, CHAPTER 2, ARTICLE 8.1,
3 A.R.S., AN ELIGIBLE ENTITY LOCATED OUTSIDE OF A BASIN OR SUBBASIN
4 LISTED ABOVE MAY LAWFULLY WITHDRAW AND TRANSPORT GROUNDWATER AWAY
5 FROM SUCH A BASIN OR SUBBASIN TO THE LOCATIONS AND FOR THE PURPOSES
6 ALLOWED BY THAT ARTICLE. THE WITHDRAWAL AND TRANSPORTATION OF
7 GROUNDWATER PURSUANT TO THAT ARTICLE MAY RESULT IN DAMAGE TO
8 RESIDENTS OF SURROUNDING LANDS AND OTHER WATER USERS, WHICH THE
9 ELIGIBLE ENTITY MAY BE REQUIRED TO MITIGATE.]
10 ~~[12.]~~ [13.] The property ☐ does have ☐ does not have an
11 on-site wastewater treatment facility (i.e., standard septic or
12 alternative system to treat and dispose of wastewater).
13 ☐ unknown. If applicable: a) The property ☐ will ☐ will not
14 require installation of an on-site wastewater treatment
15 facility; b) The on-site wastewater treatment facility ☐ has
16 ☐ has not been inspected.
17 [14. THE DATE THE ON-SITE WASTEWATER TREATMENT FACILITY WAS LAST
18 INSPECTED: (DATE) . ☐ UNKNOWN.
19 15. IF THE ON-SITE WASTEWATER TREATMENT FACILITY IS A STANDARD
20 SEPTIC SYSTEM, THE DATE THE SEPTIC TANK WAS LAST PUMPED:
21 (DATE) . ☐ UNKNOWN.
22 NOTICE TO BUYER: SEPTIC SYSTEMS ARE LAWFUL. CESSPOOLS ARE
23 UNLAWFUL. A PERSON MAY NOT USE A CESSPOOL FOR SEWAGE
24 DISPOSAL.]
25 ~~[13.]~~ [16.] The property ☐ has been ☐ has not been
26 subject to a percolation test. ☐ unknown.
27 ~~[14.]~~ [17.] The property ☐ does have ☐ does not have one or more
28 solar energy devices that are ☐ leased ☐ owned.
29 *If the solar energy devices are leased, the seller shall*
30 *disclose the name and contact information of the leasing*
31 *company.*
32 *Leasing company name: _____ Phone: _____*
33 ~~[15.]~~ [18.] The property ☐ does have ☐ does not have one or
34 more battery energy storage devices that are ☐ leased
35 ☐ owned.
36 If the battery energy storage devices are leased, the seller
37 shall disclose the name and contact information of the leasing
38 company.
39 Leasing company name: _____ Phone: _____
40 ~~[16.]~~ [19.] The property ☐ does ☐ does not meet the
41 minimum applicable county zoning requirements of the applicable
42 zoning designation.
43 ~~[17.]~~ [20.] The sale of the property ☐ does ☐ does not meet
44 the requirements of A.R.S. § 11-831 and § 32-2181 regarding
45 land divisions. If those requirements are not met, the
46 property owner may not be able to obtain a building permit. It
47 is unlawful pursuant to [A.R.S.] § 11-831, subsection F and

1 [A.R.S.] § 32-2181, subsection D for a person or group of
2 persons to attempt to avoid the subdivision laws of this state
3 by acting in concert to divide a parcel of land into six or
4 more lots or parcels. The county where the land division
5 occurred or the state real estate department may investigate
6 and enforce the prohibition against acting in concert to
7 unlawfully divide a parcel of land into six or more lots or
8 parcels. The seller or property owner shall disclose each of
9 the deficiencies to the buyer.

10 Explain: _____

11 _____
12 _____
13 ~~[18.]~~ [21.] The property ☐ is ☐ is not located in the clear
14 zone of a military airport or ancillary military facility, as
15 defined in A.R.S. § 28-8461. (Maps are available at the state
16 real estate department's website.)

17 ~~[19.]~~ [22.] The property ☐ is ☐ is not located in the high
18 noise or accident potential zone of a military airport or
19 ancillary military facility, as defined in A.R.S. § 28-8461.
20 (Maps are available at the state real estate department's
21 website.)

22 ~~[20.]~~ [23.] Notice: If the property is located within the territory
23 in the vicinity of a military airport or ancillary military
24 facility, the property is required to comply with sound
25 attenuation standards as prescribed by A.R.S. § 28-8482. (Maps
26 are available at the state real estate department's website.)

27 ~~[21.]~~ [24.] The property ☐ is ☐ is not located under military
28 restricted airspace. ☐ unknown. (Maps are available at the
29 state real estate department's website.)

30 ~~[22.]~~ [25.] The property ☐ is ☐ is not located in a military
31 electronics range as defined in A.R.S. § 9-500.28 and § 11-818.
32 ☐ unknown. (Maps are available at the state real estate
33 department's website.)

34 ~~[23.]~~ [26.] The property ☐ is ☐ is not located within the influence
35 area of a military installation or range or Arizona national
36 guard site as defined in ~~[sections]~~ [A.R.S. §] 9-500.50 and
37 [\$] 11-818.01 (Maps are available at the state real estate
38 department website.)

39 ~~[24.]~~ [27.] Use of the property ☐ is ☐ is not limited in any
40 way relating to an encumbrance of title due to a lis pendens, a
41 court order or a state real estate department order or a
42 pending legal action. If the use of the property is limited
43 due to an encumbrance of title, the seller or property owner
44 shall disclose the limitations to the buyer.

45 Explain: _____

46 _____
47 _____

1 [28. IF THE PROPERTY WAS SOLD PURSUANT TO A TRUSTEE'S SALE,
2 EXECUTION SALE OR MORTGAGE FORECLOSURE OR BY A PERSONAL
3 REPRESENTATIVE OF AN ESTATE, THOSE SELLERS ARE EXEMPT FROM
4 PROVIDING AN AFFIDAVIT. THE BUYER SHOULD INVESTIGATE THESE
5 UNKNOWN ITEMS.]

6 This affidavit of disclosure supersedes any previously
7 recorded affidavit of disclosure.

8 I certify under penalty of perjury that the information
9 contained in this affidavit is true, complete and correct
10 according to my best belief and knowledge.

11 Dated this ____ (date) ____ day of ____ (year) ____ by:

12 Seller's name (print): _____ Signature: _____

13 Seller's name (print): _____ Signature: _____

14 State of Arizona)

15) ss.

16 County of _____)

17 Subscribed and sworn before me this ____ (date) ____ day
18 of ____ (year) ____, by _____.

19 _____
20 Notary public

21 My commission expires:

22 ____ (date) ____

23 Buyer(s) hereby acknowledges receipt of a copy of this
24 affidavit of disclosure this ____ (date) ____ day
25 of ____ (year) ____

26 Buyer's name (print): _____ Signature: _____

27 Buyer's name (print): _____ Signature: _____

28 [G. IF THE SELLER IS A TRUSTEE OF A SUBDIVISION TRUST AS DEFINED IN
29 SECTION 6-801, THE BENEFICIARY OF THE SUBDIVISION TRUST SHALL PROVIDE THE
30 DISCLOSURE AFFIDAVIT REQUIRED BY THIS SECTION.]

31 [G.] [H.] For the purposes of this section, seller and subsequent
32 seller do not include [ANY OF THE FOLLOWING:]

33 1.] A trustee of a deed of trust who is selling property by a
34 trustee's sale pursuant to chapter 6.1 of this title[.] [H.]

35 [2.] Any officer who is selling property by execution sale pursuant
36 to title 12, chapter 9 and chapter 6 of this title. [if the seller is a
37 trustee of a subdivision trust as defined in section 6-801, the disclosure
38 affidavit required by this section shall be provided by the beneficiary of
39 the subdivision trust.]

40 [3. A PERSONAL REPRESENTATIVE ACTING ON BEHALF OF AN ESTATE THAT IS
41 SELLING THE PROPERTY.]>>

42 Sec. 3. Repeal

43 Section 45-552, Arizona Revised Statutes, is repealed.

1 Sec. 4. Title 45, chapter 2, article 8.1, Arizona Revised Statutes,
2 is amended by adding a new section 45-552, to read:

3 45-552. Transportation of groundwater withdrawn in McMullen
4 Valley basin to an active management area; annual
5 report; definition

6 A. AN ENTITY DESCRIBED IN SUBSECTION B OF THIS SECTION THAT OWNS
7 HISTORICALLY IRRIGATED ACRES IN THE MCMULLEN VALLEY GROUNDWATER BASIN MAY
8 WITHDRAW GROUNDWATER FROM THE LAND FOR TRANSPORTATION TO A LOCATION AND
9 FOR THE PURPOSES PRESCRIBED IN SUBSECTION D OF THIS SECTION:

10 1. IF THE GROUNDWATER IS WITHDRAWN:

11 (a) FROM A DEPTH TO ONE THOUSAND TWO HUNDRED FEET AT THE SITE OR
12 SITES OF THE PROPOSED WITHDRAWALS.

13 (b) AT A RATE THAT, WHEN ADDED TO THE EXISTING RATE OF WITHDRAWALS
14 IN THE AREA, DOES NOT CAUSE THE GROUNDWATER TABLE AT THE SITE OR SITES OF
15 THE WITHDRAWALS TO DECLINE MORE THAN AN AVERAGE OF TEN FEET PER YEAR
16 DURING THE ONE HUNDRED YEAR EVALUATION PERIOD.

17 2. IN AN AMOUNT EITHER:

18 (a) PER ACRE OF THE HISTORICALLY IRRIGATED ACRES, NOT TO EXCEED:

19 (i) SIX ACRE-FEET IN ANY YEAR.

20 (ii) THIRTY ACRE-FEET FOR ANY PERIOD OF TEN CONSECUTIVE YEARS
21 COMPUTED IN CONTINUING PROGRESSIVE SERIES BEGINNING IN THE YEAR
22 TRANSPORTATION OF GROUNDWATER FROM THE LAND BEGINS.

23 (b) ESTABLISHED BY THE DIRECTOR, BUT ONLY IF THE DIRECTOR
24 DETERMINES THAT WITHDRAWALS IN AN AMOUNT GREATER THAN THAT ALLOWED BY
25 SUBDIVISION (a) OF THIS PARAGRAPH WILL NOT UNREASONABLY INCREASE DAMAGE TO
26 RESIDENTS OF SURROUNDING LAND AND OTHER WATER USERS IN THE MCMULLEN VALLEY
27 GROUNDWATER BASIN, OR THAT ONE OR MORE OF THE ENTITIES WITHDRAWING THE
28 GROUNDWATER WILL MITIGATE THE DAMAGE TO THE RESIDENTS AND OTHER WATER
29 USERS.

30 3. BY A PUBLIC SERVICE CORPORATION, IF ALL COSTS ASSOCIATED WITH
31 WITHDRAWING, TRANSPORTING AND DELIVERING GROUNDWATER AWAY FROM THE
32 MCMULLEN VALLEY GROUNDWATER BASIN ARE COLLECTED FROM THE CUSTOMERS OF THE
33 PUBLIC SERVICE CORPORATION'S WATER DISTRICT WHERE THE TRANSPORTED
34 GROUNDWATER IS USED.

35 4. IF BEFORE THE WITHDRAWAL OF GROUNDWATER FROM THE MCMULLEN VALLEY
36 GROUNDWATER BASIN, THE ELIGIBLE ENTITY HAS DEMONSTRATED COMPLIANCE WITH
37 THE CRITERIA IN THIS SUBSECTION USING A HYDROLOGICAL STUDY. THE DIRECTOR
38 SHALL PRESCRIBE THE CONTENTS OF THE STUDY THAT IS SUBMITTED WITH THE
39 APPLICATION.

40 5. IF BEFORE THE WITHDRAWAL OF GROUNDWATER FROM THE MCMULLEN VALLEY
41 GROUNDWATER BASIN, THE ELIGIBLE ENTITY INSTALLS WATER MEASURING DEVICES,
42 OR OTHER SIMILARLY RELIABLE AND ACCESSIBLE METHODS AS APPROVED BY THE
43 DEPARTMENT, TO DETERMINE THE VOLUME OF GROUNDWATER THAT IS WITHDRAWN FROM
44 WELLS RELATED TO THE TRANSPORTATION ACTIVITY AND THAT IS TRANSPORTED OUT
45 OF THE MCMULLEN VALLEY GROUNDWATER BASIN BY PIPELINES, CANALS OR CONDUITS.

46 6. IF WITHIN THIRTY DAYS AFTER THE WITHDRAWAL OF GROUNDWATER FROM
47 THE MCMULLEN VALLEY GROUNDWATER BASIN FOR TRANSPORTATION, THE ELIGIBLE

1 ENTITY SUBMITS A MONTHLY REPORT TO THE DEPARTMENT CONTAINING ALL OF THE
2 FOLLOWING INFORMATION:

3 (a) THE VOLUME OF GROUNDWATER THE ENTITY WITHDREW FROM THE MCMULLEN
4 VALLEY GROUNDWATER BASIN IN THE PRECEDING MONTH.

5 (b) THE VOLUME OF GROUNDWATER THE ENTITY TRANSPORTED OUT OF THE
6 MCMULLEN VALLEY GROUNDWATER BASIN IN THE PRECEDING MONTH.

7 (c) THE END USE OR DESTINATION OF GROUNDWATER THE ENTITY
8 TRANSPORTED OUT OF THE MCMULLEN VALLEY GROUNDWATER BASIN IN THE PRECEDING
9 MONTH.

10 B. THE FOLLOWING ENTITIES ARE ELIGIBLE TO TRANSPORT GROUNDWATER
11 AWAY FROM THE MCMULLEN VALLEY GROUNDWATER BASIN PURSUANT TO SUBSECTION A
12 OF THIS SECTION:

13 1. THIS STATE.

14 2. A POLITICAL SUBDIVISION OF THIS STATE.

15 3. A PUBLIC SERVICE CORPORATION THAT IS REGULATED BY THE
16 CORPORATION COMMISSION AND THAT HOLDS A CERTIFICATE OF CONVENIENCE AND
17 NECESSITY FOR WATER SERVICE.

18 C. THE DIRECTOR SHALL ADOPT RULES TO IMPLEMENT THIS SECTION,
19 INCLUDING FOR THE REPORTING OF GROUNDWATER TRANSPORTED FROM THE MCMULLEN
20 VALLEY GROUNDWATER BASIN.

21 D. THE FOLLOWING LOCATIONS AND PURPOSES ARE ELIGIBLE TO RECEIVE
22 GROUNDWATER TRANSPORTED AWAY FROM THE MCMULLEN VALLEY GROUNDWATER BASIN
23 PURSUANT TO SUBSECTION A OF THIS SECTION:

24 1. AN INITIAL ACTIVE MANAGEMENT AREA FOR USE BY AN ELIGIBLE ENTITY
25 OR THE ARIZONA WATER BANKING AUTHORITY PURSUANT TO SECTION 45-2491.

26 2. LA PAZ COUNTY BY AN ELIGIBLE ENTITY IN A TOTAL CUMULATIVE VOLUME
27 NOT TO EXCEED TEN PERCENT OF THE TOTAL ANNUAL VOLUME OF GROUNDWATER THE
28 DEPARTMENT DETERMINES IS AVAILABLE FOR TRANSPORT OUT OF THE MCMULLEN
29 VALLEY GROUNDWATER BASIN. AN ELIGIBLE ENTITY IN LA PAZ COUNTY MAY DO
30 EITHER OF THE FOLLOWING:

31 (a) TRANSPORT GROUNDWATER FROM HISTORICALLY IRRIGATED ACRES IN THE
32 MCMULLEN VALLEY GROUNDWATER BASIN OWNED BY THE ELIGIBLE ENTITY TO A
33 LOCATION IN LA PAZ COUNTY FOR THE ELIGIBLE ENTITY'S OWN USE.

34 (b) SELL OR LEASE GROUNDWATER FROM HISTORICALLY IRRIGATED ACRES
35 OWNED BY THE ELIGIBLE ENTITY THAT ARE LOCATED IN LA PAZ COUNTY TO A
36 DESIGNATED PROVIDER IN THE PHOENIX, TUCSON OR PINAL ACTIVE MANAGEMENT AREA
37 FOR THE DESIGNATED PROVIDER'S OWN USE.

38 E. ANY LOCAL USE OF GROUNDWATER BY AN ELIGIBLE ENTITY THAT SELLS OR
39 LEASES GROUNDWATER PURSUANT TO SUBSECTION D, PARAGRAPH 2 OF THIS SECTION
40 SHALL COUNT TOWARD THE ELIGIBLE ENTITY'S MAXIMUM PER ACRE WITHDRAWAL LIMIT
41 PRESCRIBED IN SUBSECTION A, PARAGRAPH 2, SUBDIVISION (a) OF THIS SECTION.

42 F. ON OR BEFORE JULY 1 OF EACH YEAR, THE DEPARTMENT SHALL SUBMIT A
43 REPORT TO THE GOVERNOR, THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE
44 HOUSE OF REPRESENTATIVES, AND SHALL PROVIDE A COPY OF THIS REPORT TO THE
45 SECRETARY OF STATE, OF THE TOTAL AMOUNT OF GROUNDWATER ALL ELIGIBLE
46 ENTITIES WITHDREW FROM THE MCMULLEN VALLEY GROUNDWATER BASIN IN THE
47 PRECEDING YEAR.

1 G. THIS SECTION DOES NOT PROHIBIT A PERSON FROM STORING AND
2 RECOVERING WATER THAT IS NOT GROUNDWATER AND THAT IS STORED PURSUANT TO
3 CHAPTER 3.1 OF THIS TITLE. WATER THAT IS NOT GROUNDWATER AND THAT IS
4 STORED PURSUANT TO CHAPTER 3.1 OF THIS TITLE DOES NOT COUNT TOWARD THE
5 WITHDRAWAL LIMITS PRESCRIBED IN SUBSECTION A, PARAGRAPH 2 OF THIS SECTION.

6 H. FOR THE PURPOSES OF THIS SECTION, "HISTORICALLY IRRIGATED ACRES"
7 MEANS LAND OVERLAYING AN AQUIFER THAT WAS IRRIGATED WITH GROUNDWATER FROM
8 THAT AQUIFER BEFORE JANUARY 1, 1988.

9 <<Sec. 5. Section 48-901, Arizona Revised Statutes, is amended to
10 read:

11 48-901. Definitions

12 In this article, unless the context otherwise requires:

13 1. "Assessment" or "assessment roll" means a special assessment
14 made under this article.

15 2. "Block" means a parcel of ground, regular or irregular, bounded
16 by streets or by streets and district boundary lines.

17 3. "Chairman of the board" means the person designated to preside
18 over meetings of the board of directors.

19 4. "Clerk" ~~[or "district clerk"]~~ means the clerk of the board of
20 supervisors, who shall be the clerk under this article and in whose office
21 shall be filed all papers directed or required to be filed with the clerk.

22 5. "Commercial farming" means the intensive cultivation of arable
23 land by the raising of agricultural or horticultural products as a
24 principal source of the owner's livelihood.

25 6. "Commercial stock raising" means the breeding, raising and care
26 of domestic animals as a principal source of the owner's livelihood.

27 7. "Contractor" includes personal representatives or assignee of
28 the contractor.

29 8. "Delinquency" means delinquency in the payment of an assessment.

30 9. "Engineer" or "district engineer" means a person designated or
31 employed by the board of directors of a district to perform any or all of
32 the engineering work authorized to be done by the district under this
33 article.

34 10. "Improvement bond" means a bond issued under this article.

35 11. "Lighting plants" includes electric light plants, electric
36 power plants, gas plants, distribution systems, poles, parts, pipes,
37 conduits, wires, tanks, reservoirs, generators for gas or electricity,
38 transmission lines, towers, lamps, transformers of every character,
39 machinery, apparatus, equipment and all appliances and structures
40 necessary or incidental to the construction, installation or operation of
41 a complete electric light, power and gas plant and distribution system
42 placed on the streets improved, though extended beyond.

43 12. "Lot" [.]

44 (a) Includes any portion, piece, parcel or subdivision of
45 land [.] ~~[, but]~~

46 [(b) DOES] not [INCLUDE] property owned or controlled by any person
47 as a railroad ~~[right of way]~~ [RIGHT-OF-WAY].

1 13. "Owner" means the person in whom legal title appears by
2 recorded deed, or the person in possession under claim or title, or the
3 person exercising acts of ownership for ~~[himself]~~ [THE PERSON] or as the
4 personal representative of the owner, including the boards of trustees of
5 school districts and the boards of education of high school districts
6 owning property within the proposed improvement district.

7 14. "Sewers" includes wastewater treatment facilities, tunnels,
8 excavations, ditches, drains, conduits, channels, outlets, outfalls,
9 cesspools, manholes, catch basins, flush tanks, septic tanks, connecting
10 sewers of every character, machinery, apparatus, equipment and all
11 appliances and structures necessary or incidental to the construction,
12 installation or operation of a complete sewer system for either sanitary
13 or drainage purposes.

14 15. "Street" includes avenues, alleys, highways, lanes, crossings,
15 intersections, courts, places and grounds opened or dedicated to public
16 use and public ways.

17 16. "Street superintendent" or "superintendent" means a county
18 employee designated by the board of supervisors to perform the duties of
19 street superintendent for all the districts organized under this article
20 in any county.

21 ~~[17.] "Time of delinquency" means the time when assessments become~~
22 ~~delinquent.~~

23 ~~[18.]~~ [17.] "Treasurer" or "district treasurer" means the treasurer
24 of the county in which a district is situated, who shall be the treasurer
25 of the district.

26 ~~[19.]~~ [18.] "Unincorporated area" means any portion of a county
27 not within the limits of an incorporated city or town, so situated that
28 any of the improvements provided for in this article might reasonably or
29 properly be made or constructed for the benefit of the inhabitants of the
30 area under existing special assessment statutes if the area were situated
31 within an incorporated city or town.

32 ~~[20.]~~ [19.] "Wastewater systems" means sewers and other wastewater
33 treatment facilities.

34 ~~[21.]~~ [20.] "Waterworks"[:

35 (a)] Means works for the storage or development of water for
36 domestic uses[.] ~~[, including]~~

37 [(b)] INCLUDES drinking water treatment facilities, wells, pumping
38 machinery, power plants, [STANDPIPES.] pipelines and all equipment
39 necessary for those purposes.

40 ~~[22.]~~ [21.] "Work" or "improvement" includes any of the
41 improvements mentioned and authorized to be made in this article, the
42 construction, reconstruction and repair of all or any portion of any such
43 improvement, and labor, services, expenses and material necessary or
44 incidental thereto.>>

1 <<Sec. 6. Section 48-902, Arizona Revised Statutes, is amended to
2 read:

3 48-902. Authorization for improvement district: areas and
4 lands excluded

5 A. An improvement district may be established in any unincorporated
6 area, whether or not contiguous, by the board of supervisors of the county
7 in which the proposed district is located, for the purpose of constructing
8 and operating a wastewater treatment facility [OR A DOMESTIC WATER
9 DELIVERY SYSTEM THAT IS LOCATED IN A SUBSEQUENT ACTIVE MANAGEMENT AREA
10 ESTABLISHED PURSUANT TO TITLE 45, CHAPTER 2, ARTICLE 2 OR THAT IS LOCATED
11 IN A BASIN OR SUBBASIN FROM WHICH GROUNDWATER MAY BE TRANSPORTED PURSUANT
12 TO TITLE 45, CHAPTER 2, ARTICLE 8.1. FOR THE PURPOSE OF DELIVERING WATER
13 THROUGH WATER HAULING] and making other local improvements or acquisitions
14 in the district or for the benefit of the district that are [permitted]
15 [ALLOWED] by this article, and may contract for or in any other manner
16 provide transportation services within the district through special
17 assessments in such districts, or the issuing of bonds or making other
18 contractual arrangements for improvements, and levying taxes for the
19 operation and maintenance of improvements and streets within the district
20 or for the benefit of the district.

21 B. With written consent of the state land commissioner, an
22 improvement district may include state lands or state trust lands within
23 its boundaries, but those lands shall not be included for purposes of
24 forming or objecting to the formation or expansion of a district.

25 C. Notwithstanding subsection A of this section, an improvement
26 district established for the purposes described in section 48-909,
27 subsection A, paragraph 1, 6, 7 or 10 may include areas in an incorporated
28 city or town with the consent of the city's or town's governing body.

29 D. At the time of the establishment of an improvement district,
30 [none of] the following shall [NOT] be included in the improvement
31 district:

32 1. Territory lying within an incorporated city or town except as
33 provided in subsection C of this section.

34 2. Lands owned or held by any common carrier for use in connection
35 with interstate or intrastate commerce.

36 3. Unpatented mining claims.

37 E. Unless the improvement district is formed for the purposes
38 described in section 48-909, subsection A, paragraph 7, at the time of
39 establishment of an improvement district, [none of] the following shall
40 [NOT] be included in the improvement district if the owner objects to such
41 inclusion as provided in subsection F of this section:

42 1. Lands owned or held for mining or metallurgical purposes.

43 2. Any tract of land of twenty or more acres in area actually used
44 for commercial farming or commercial stock raising, or any subdivided
45 lands of which lots or blocks have not been offered generally for sale
46 since the lands were subdivided.

1 F. The owner of any property included in the classifications listed
2 in subsection E of this section may have the property excluded from the
3 proposed improvement district if the owner files a verified statement with
4 the board of supervisors ~~[prior to]~~ [BEFORE] the adoption of the
5 resolution ordering the formation of the district, stating that the person
6 executing the statement is one of the owners of the respective lot or
7 parcel, the respective classification, that the lot or parcel is within
8 such classification on the date of the statement, the legal description of
9 the lot or parcel and that the signer requests that the lot or parcel be
10 excluded from the improvement district. Any property owner may contest
11 the statement at the hearing on formation of the improvement district.
12 The board of supervisors shall rule on all such objections.

13 G. A domestic water improvement district may be formed or expanded
14 in noncontiguous areas. If the proposed boundaries of a noncontiguous
15 district are located within six miles of an incorporated city or town, the
16 district shall obtain the consent of the governing body of the city or
17 town ~~[prior to]~~ [BEFORE] the formation or expansion of the district.>>

18 <<Sec. 7. Section 48-909, Arizona Revised Statutes, is amended to
19 read:

20 48-909. Purposes for which public improvements may be
21 undertaken; powers incidental to public
22 improvements

23 A. When the public interest or convenience requires, the board of
24 directors of an improvement district may ~~[order]~~:

25 1. [ORDER] the whole or any portion, either in length or width, of
26 one or more of the streets of the district graded or regraded, paved or
27 repaved, landscaped or otherwise maintained, improved or reimproved.

28 2. [ORDER] the acquisition, construction, reconstruction or repair
29 of any street, tunnel, subway, viaduct or conduit in, on, under or over
30 which the district may have an easement or right-of-way therefor.

31 3. [ORDER] the construction or reconstruction of sidewalks,
32 crosswalks, curbs, gutters, culverts, bridges, tunnels, siphons, manholes,
33 steps, parkings and parkways.

34 4. [ORDER] the placement, replacement or repair of pipes, hydrants
35 and appliances for fire protection.

36 5. [ORDER] the acquisition, construction, reconstruction,
37 maintenance or repair of wastewater treatment facilities, sewers, ditches,
38 drains, conduits, pipelines and channels for sanitary and drainage
39 purposes, with outlets, cesspools, manholes, catch basins, flush tanks,
40 septic tanks, connecting sewers, ditches, drains, conduits, channels and
41 other appurtenances in, under, over or through any street or any land of
42 the district or any right-of-way granted or obtained for such a purpose,
43 either within or without the district limits.

44 6. [ORDER] the acquisition, construction, reconstruction,
45 maintenance or repair of waterworks, including [WELLS, STANDPIPES AND]
46 drinking water treatment facilities, for the delivery of water for
47 domestic purposes, [INCLUDING FOR THE DELIVERY OF WATER IN A SUBSEQUENT

1 ACTIVE MANAGEMENT AREA ESTABLISHED PURSUANT TO TITLE 45, CHAPTER 2,
2 ARTICLE 2 OR IN A BASIN OR SUBBASIN FROM WHICH GROUNDWATER MAY BE
3 TRANSPORTED PURSUANT TO TITLE 45, CHAPTER 2, ARTICLE 8.1 THROUGH WATER
4 HAULING.] and of wells, ditches, canals, channels, conduits, pipelines and
5 siphons, together with the necessary or usual appurtenances for carrying
6 ~~[storm water]~~ [STORMWATER] or water from irrigation ditches, watercourses,
7 streams or springs into, through or out of the district in, under, over or
8 through any street, or any land of the district or any right-of-way
9 granted or obtained for such a purpose, either within or without the
10 district limits. This section does not prohibit the board of directors of
11 an improvement district from purchasing an existing domestic water
12 delivery system within the district or outside the district or
13 constructing an initial or improving an existing domestic water delivery
14 system inside or outside the district.

15 7. [ORDER] the construction, reconstruction or repair of breakwater
16 levees or walls, riverbank protection or replacement of riverbanks and
17 supporting land. A district established for this purpose shall cooperate
18 and coordinate its plans and activities with the county flood control
19 district established in the county and any incorporated city or town in
20 which the district is established.

21 8. [ORDER] the acquisition, construction, reconstruction or repair
22 of lighting plants and poles, wire conduits, lamps, standards and other
23 appliances for the purpose of lighting and beautifying streets or other
24 public lands.

25 9. [ORDER] the construction, reconstruction or repair of any work
26 incidental to or connected with any improvement.

27 10. [ORDER] the acquisition, in the name of the district, by gift,
28 purchase or otherwise and the maintenance, repair, improvement or disposal
29 of any real or personal property necessary or convenient for district
30 operation for a community center, park or recreational area.

31 11. Pursuant to section 48-902, ~~[the board of directors of an~~
32 ~~improvement district may]~~ contract for or in any other manner provide
33 transportation services within the district.

34 B. In addition to the powers specifically granted by or reasonably
35 inferred from this article, an improvement district through its board of
36 directors may:

37 1. [EXCEPT AS PRESCRIBED BY SUBSECTION F OF THIS SECTION.] acquire
38 by gift, purchase, condemnation or otherwise in the name of the district
39 and own, control, manage and dispose of any real or personal property or
40 interest in the property necessary or convenient for the construction,
41 operation and maintenance of any of the improvements provided for by this
42 article.

43 2. Join with any other improvement district, any city, town,
44 governmental agency or Indian tribe, or any agency or instrumentality of
45 an Indian tribe, or any person in the construction, operation or
46 maintenance of any of the improvements hereby authorized.

1 3. Join with any other improvement district or any city, town,
2 county or Indian tribe, or any agency or instrumentality of an Indian
3 tribe, in improving streets running on or along the boundary of the
4 district and levy assessments and issue bonds for the district's part of
5 the cost of those improvements.

6 4. Sell, lease or otherwise dispose of any property of the district
7 or interest in the property when the property is no longer required for
8 the purposes of the district or the use of which may be permitted without
9 interfering with the use thereof by the district.

10 5. Sell or otherwise dispose of any property or material acquired
11 in the construction or operation of any improvements as a by-product or
12 otherwise, and acquire rights-of-way for the disposal by condemnation or
13 otherwise.

14 6. Accept from this state or the federal government, or any agency,
15 department or instrumentality of either, grants for or in aid of the
16 construction of any of the improvements provided for by this chapter.

17 7. Notwithstanding any other law, sell improvement bonds to the
18 federal government, or any agency, department or instrumentality of the
19 federal government, for the construction of any of the improvements
20 provided by this chapter.

21 8. Enter into contracts with this state or the federal government,
22 or any agency, department or instrumentality of either or both, for the
23 construction or supervision of construction by ~~[the]~~ [THIS] state ~~[of~~
24 Arizona] or the federal government, or any agency, department or
25 instrumentality of either or both, but reserving to the district the right
26 to assess against the property benefited by the improvement, and located
27 within the district, that portion of the cost of the improvement that does
28 not qualify for aid under a state or federal grant.

29 9. Operate, maintain and repair the streets within the district and
30 any improvements made pursuant to this chapter.

31 10. Do all things incidental to the exercise of the powers granted
32 by this article.

33 C. A county improvement district formed for the purpose of
34 purchasing an existing or constructing a new domestic water delivery
35 system within the district or outside the district shall have the same
36 authority and responsibility as an incorporated city or town pursuant to
37 title 45 and chapters 22 and 28 of this title.

38 D. An improvement district that proposes to provide domestic water
39 service within the certificated area of a public service corporation
40 serving domestic water shall provide just compensation to the public
41 service corporation pursuant to section 9-516 for the facilities or
42 certificated area taken. The right to compensation for a public service
43 corporation from an improvement district shall not apply if no facilities
44 of the public service corporation are actually acquired by the improvement
45 district and either of the following conditions exist:

1 1. At the time the law providing for compensation became effective
2 the certificated area for which compensation is sought is an area that was
3 within the boundaries of an improvement district.

4 2. A certificate is issued to a public service corporation for any
5 area that is within an improvement district at the time the certificate is
6 issued.

7 E. If the county board of supervisors determines that the public
8 interest or convenience so requires, an improvement district that is
9 formed for the purposes of providing domestic water service pursuant to
10 article 4 of this chapter may also provide domestic wastewater service.

11 [F. AN IMPROVEMENT DISTRICT THAT IS FORMED IN A SUBSEQUENT ACTIVE
12 MANAGEMENT AREA ESTABLISHED PURSUANT TO TITLE 45, CHAPTER 2, ARTICLE 2 OR
13 IN A BASIN OR SUBBASIN FROM WHICH GROUNDWATER MAY BE TRANSPORTED PURSUANT
14 TO TITLE 45, CHAPTER 2, ARTICLE 8.1 FOR THE PURPOSE OF DELIVERING WATER
15 THROUGH WATER HAULING MAY EXERCISE THE POWER OF EMINENT DOMAIN ONLY FOR
16 THE LIMITED PURPOSE OF ACQUIRING OR OTHERWISE SECURING A SITE IN THE
17 SUBSEQUENT ACTIVE MANAGEMENT AREA OR BASIN OR SUBBASIN FROM WHICH
18 GROUNDWATER MAY BE TRANSPORTED FOR THE CONSTRUCTION OF AND LEGAL ACCESS TO
19 A SINGLE WELL AND A STANDPIPE TO PRODUCE WATER AND MAKE WATER AVAILABLE AT
20 THE SITE FOR DELIVERY THROUGH WATER HAULING.]>>

21 Enroll and engross to conform

22 Amend title to conform

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